

Detailed ESG Report - Brussels (2025)

Executive Summary

The Brussels Capital Region presents one of the most challenging ESG landscapes in Belgium's residential real estate market. With over half of the buildings constructed before 1960, the housing stock is heavily energy-inefficient, relying primarily on fossil fuels and showing limited renovation efforts. Nonetheless, Brussels also offers the most generous public subsidies for sustainable renovation and is actively aligning with the EU EPBD 2023 directive, targeting full decarbonization of buildings by 2050.

Key facts:

- Only 6% of buildings reach EPC class A
- Over 65% of homes still use natural gas for heating
- Average CO2 emission: 22 kg/m2/year
- Brussels aims for EPC class D minimum by 2033 in compliance with EU law

Environmental Performance (EPC & CO2 Emissions)

The current energy performance of the Brussels housing stock is problematic:

- EPC Class Distribution (2025):

- A: 6%
- B: 12%
- C: 23%
- D: 28%
- E-G: 31%

- Heating Systems:

- Natural Gas: 65%
- Electric Resistance Heating: 10%
- Heat Pumps: ~4%
- District Heating: <2%

- CO2 Emissions:

The regional average is 22 kg CO2/m2/year. Older buildings can emit more than 35 kg CO2/m2/year.

- Thermal Insulation:

Roof insulation is missing in 30% of pre-1980 homes. Triple glazing remains rare (<10%).

Social Indicators

- Building Age:

55% built before 1960; less than 20% after 1990. Renovation backlog: ~EUR15 billion.

- Urban Density & Energy Poverty:

Brussels is the most densely populated region (7,500 people/km2). Energy poverty affects 25% of households in some municipalities.

- Renovation Grant Access:

Administrative complexity and cost barriers hinder access for vulnerable households.

Governance & Legal Framework

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- PEB/EPC:
EPC required since 2011 for sales and rentals. Visibility mandatory in listings.
- EPBD 2023:
All residential buildings must reach EPC D by 2033. New builds = zero-emission from 2030.
- Energy Audits:
Mandatory for buildings >400m² as of 2024.
- Transparency:
EPC public data now integrated into cadastral and real estate platforms.

Renovation Scenarios & Financial ROI

- Roof Insulation:
Cost: EUR4,000-6,000. Subsidy: EUR25-30/m². ROI: 5-7 years. Savings: 20-30%.
- Triple Glazing:
Cost: EUR400-600/window. Value boost: +3 to 5%.
- Heat Pumps:
Cost: EUR12k-16k. Subsidy: up to EUR3,750. ROI: 8-12 years.
- Solar Panels:
Payback: 6-9 years. Supported by loans and rebates.

Strategic ESG Outlook

- Risks:
Non-compliant buildings may become unsellable or unlettable by 2033. Financing will be harder.
- Opportunities:
Upgraded buildings (EPC A/B) may gain 10-15% value and sell 20-25% faster.
- Market Dynamics:
ESG upgrades are now a key value driver in Brussels real estate.